

**THE HON'BLE SRI JUSTICE P. NAVEEN RAO
AND
THE HON'BLE SMT DR. JUSTICE G. RADHA RANI**

WRIT PETITION NO. 25153 OF 2022

Date:06.07.2022

Between:

Sri Katturi Gangadhar, S/o. Late Katturi Sudarshan,
Aged 60 years, Occ: Business, R/o.H.No. 4-3-71/4/2,
Dwaraka Nagar, Adilabad Mandal and District,
Telangana State – 504001.

.....Petitioner

And

State Bank of India,
Rep by its., Authorized Officer,
Stressed Assets Recovery Branch (SARB-II),
H.No.1-8-563/1, 1st Floor, Opp:Sandhya Theatre,
RTC X Roads, Chikkadpally, Hyderabad-500020,
And another.

.....Respondents

The Court made the following:

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ORDER: (Per Hon'ble Sri Justice P.Naveen Rao)

Heard Sri Nageshwar Rao Pujari, learned counsel for petitioner and Sri Maruthi Jadhav, learned counsel appearing for respondents.

2. Petitioner is a defaulter of amount borrowed from the respondent-State Bank of India. The respondent-Bank initiated proceedings under the Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002, (for short 'SARFAESI Act, 2002') and the Rules made there under. In the process of recouping the advances extended to the petitioner, the respondent-Bank issued e-auction sale notice dated 03.08.2020 fixing the date of auction on 09.09.2020. Challenging the said notice the petitioner herein filed S.A.No.111 of 2021 in the Debts Recovery Tribunal-I, Telangana, at Hyderabad (for short 'DRT-I'). The Tribunal while permitting the respondent-Bank to conduct auction restrained it from confirming the sale in favor of the highest bidder, subject to petitioner depositing Rs.25,00,000/- into the loan account.

Accordingly, the petitioner claimed to have deposited Rs.25,00,000/-. When S.A.No.111 of 2021 was called before the DRT-I, there was no representation on behalf of the petitioner. Therefore, the Tribunal dismissed S.A.No.111 of 2021 for non-prosecution. After the dismissal of S.A.No.111 of 2021, the respondent-Bank has taken steps to confirm the same and hand over the possession of subject property. Having come to know that S.A.No.111 of 2021 was dismissed, petitioner filed M.A.No.36 of 2021 praying the DRT to restore S.A.No.111 of 2021 and to hear the same on merits. It appears that M.A.No.36 of 2021 was last listed on 27.06.2022 and was adjourned to 01.08.2022.

3. In the meantime, the respondent-Bank issued notice dated 08.06.2022, directing the petitioner to vacate the suit schedule property and hand over possession so that the purchaser can be given the possession of the property. Challenging the same, this writ petition is filed.

4. Learned counsel representing the respondent-Bank, submits that in spite of giving due opportunity, petitioner failed to avail and did not contest S.A.No.111 of 2021. Therefore, after the dismissal of S.A.No.111 of 2021, the sale was confirmed and

purchaser of the property is suffering because respondent-Bank was unable to hand over the possession of the property. Thus, the notice impugned herein is issued and there was no illegality in issuing the said notice.

5. Learned counsel for the petitioner submits that since M.A.No.36 of 2021 is not heard so far and S.A.No.111 of 2021 is not restored, at this stage, he has no other remedy available under the SARFAESI Act, 2002, to go before the DRT-I except to come before this Court.

6. According to learned counsel, if petitioner is asked to hand over the possession of the property before the matter is considered by the DRT-I, even if he succeeds before the DRT-I in getting S.A.No.111 of 2021 restored, grave prejudice would be caused to petitioner.

7. Having regard to the peculiar facts of this case, we are inclined to grant limited protection to petitioner.

8. Admittedly, M.A.No.36 of 2021 filed by the petitioner for restoration of S.A.No.111 of 2021 is pending consideration of the DRT-I and the next date of hearing assigned is 01.08.2022. At this stage, if petitioner is asked to hand over possession of

the property, it may cause grave hardship to petitioner. Therefore, the respondent-Bank is directed not to take any coercive steps for a period of eight (8) weeks from today. The petitioner and respondents shall make respective submissions on the assigned date i.e., 01.08.2022 and the DRT-I may consider the respective submissions and pass appropriate orders in M.A.No.36 of 2021 as expeditiously as possible or preferably before expiry of eight weeks from today. Accordingly, the Writ Petition is disposed of. Miscellaneous petitions, pending if any, shall stand closed.

P. NAVEEN RAO, J

DR. G. RADHA RANI, J

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